



BUYER'S PERSPECTIVE

The profit for the buyer would be calculated from the strike, therefore,

Profit of the buyer	
Current Market Price	₹2500
- Strike Price	(₹2200)
Profit before premium	₹300
- Premium	(₹50)
Profit of the buyer	₹250

Here, we can see that the Exercise price is higher than the Strike Price. So, the buyer will exercise their rights and receive a payoff of ₹300. However, the buyer had also paid a premium that needs to be deducted to calculate the overall profits as we saw earlier. So, the profit per unit for the buyer is ₹250. Profit per unit needs to be multiplied to the lot size to calculate the profits/losses on each lot.



SELLER'S PERSPECTIVE

Profit of the Buyer	=	Loss of the Seller
₹250		₹250

The seller is on the opposite end of the trade. So, in this case they will have to make the payoff of ₹300 to the buyer. However, they had also received ₹50 as premium. As a result, total losses for the seller = ₹300 - ₹50 = ₹250. The profit of the Option buyer is compensated by the options seller.